

Interglobe Aviation Ltd

Investment Rating : Excellent

Company Overview

Website	http://www.goindigo.in/
Sector	nan
Market Cap	1,040,632.92 Cr
PE Ratio	76.23
PB Ratio	7.87
Dividend Yield	4.27 %

Financial Quality

ROE	nan
ROCE	24.5
CFO Quality	Accrual Risk
FCF CAGR	nan%
Capital Pattern	Growth Focused

Capital Allocation

Capital Score	100.0
Reinvestment	Balanced
Debt Trend	Increasing Debt
Leverage	Low

Business Overview

Interglobe Aviation Ltd (Indigo) is India's largest passenger airline operating as a low-cost carrier. Serving 86 destinations including 24 international destinations, it provides passengers with a simple, unbundled product, fulfilling its singular brand promise of providing "low fares, on-time flights, and a courteous and hassle-free service" to its customers. IndiGo commenced operations in August 2006 with a single aircraft and has grown its fleet to 262 aircrafts.

Strengths

Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
Revenue growing above 15% CAGR over 5 years reflects strong business momentum.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Net profit compounding above 20% over 5 years creates significant shareholder value.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.

Risks

Operating margins declining for 3 consecutive years suggest pricing or cost pressure.
Rising debt over the past 3 years suggests increasing financial leverage risk.